

Japan Exchange Group, Inc. and Consolidated Subsidiaries
Consolidated financial results for the nine months ended December 31, 2024
(Based on IFRS), unaudited

Company name: Japan Exchange Group, Inc. Stock Exchange Listings: Tokyo
Code number: 8697 URL: <https://www.jpx.co.jp/english/>
Representative: Yamaji Hiromi, Director & Representative Executive Officer, Group CEO
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Scheduled date of start of dividend payment: —
Preparation of supplementary material on financial results: Yes
Holding of financial results briefing: None

1. Consolidated financial results for the nine months ended December 31, 2024

(from April 1, 2024 to December 31, 2024)

(Figures are rounded down to the nearest million yen)

(1) Consolidated operating results (cumulative)

(Percentages represent changes year on year)

	Operating revenue		Operating income		Income before income tax		Net income		Net income attributable to owners of the parent company		Comprehensive income	
	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%
Nine months ended December 31, 2024	121,591	8.9	69,441	5.1	69,510	5.3	48,226	1.5	46,967	0.8	48,266	1.6
Nine months ended December 31, 2023	111,639	11.1	66,042	27.6	66,024	27.6	47,530	32.4	46,591	32.5	47,524	32.5

	Basic earnings per share	Diluted earnings per share
	yen	yen
Nine months ended December 31, 2024	45.14	—
Nine months ended December 31, 2023	44.77	—

Please note that a 2-for-1 stock split was conducted effective October 1, 2024. For this reason, the basic earnings per share are calculated as if said stock split was conducted at the beginning of the previous consolidated accounting year.

(2) Consolidated financial position

	Total assets	Total equity	Total equity attributable to owners of the parent company	Ratio of total equity attributable to owners of the parent company to total assets
	Mil. yen	Mil. yen	Mil. yen	%
As of December 31, 2024	82,859,285	336,565	326,391	0.4
As of March 31, 2024	80,682,627	338,566	328,359	0.4

Note: Sizable amounts of "clearing business financial assets and liabilities" and "deposits from clearing participants" pertaining to the clearing business conducted by consolidated subsidiary Japan Securities Clearing Corporation are included in the assets and liabilities of JPX Group (meaning JPX and its subsidiaries). For JPX Group's financial position excluding "clearing business financial assets and liabilities" and "deposits from clearing participants," etc., see "1.

OVERVIEW OF OPERATING RESULTS AND FINANCIAL POSITION - (2) Overview of Financial Position" on page 4 of the Appendix.

2. Dividends

	Annual dividends per share				
	First quarter-end	Second quarter-end	Third quarter-end	Fiscal year-end	Total
Year ended March 31, 2024	yen —	yen 31.00	yen —	yen 60.00	yen 91.00
Year ending March 31, 2025	—	33.00	—		
Year ending March 31, 2025 (forecast)				17.00	—

Note 1: Change in dividend forecast from the most recent announcement: None

Note 2: Breakdown of year-end dividend for the fiscal year ended March 31, 2024: ordinary dividend ¥40; special dividend ¥20.

Please note that a 2-for-1 stock split was conducted effective October 1, 2024, and the year-end dividend forecast for the fiscal year ending March 31, 2025 is calculated taking said stock split into account.

If the stock split were not considered, the year-end dividend forecast for the fiscal year ending March 31, 2025 would be ¥34.00.

3. Consolidated earnings forecast for the fiscal year ending March 31, 2025 (from April 1, 2024 to March 31, 2025)

(Percentages represent changes year on year)

	Operating revenue		Operating income		Income before income tax		Net income		Net income attributable to owners of the parent company		Basic earnings per share
	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	
Year ending March 31, 2025	159,000	4.0	86,000	(1.7)	86,000	(1.6)	59,500	(4.0)	58,000	(4.6)	yen 55.75

Note: Change in earnings forecast from the most recent announcement: None

Please note that a 2-for-1 stock split was conducted effective October 1, 2024, and the basic earnings per share in the consolidated earnings forecast for the year ending March 31, 2025 are calculated taking said stock split into account.

If the stock split were not considered, the basic earnings per share in the consolidated earnings forecast for the year ending March 31, 2025 would be ¥111.49.

Notes:

(1) Significant changes in the scope of consolidation during the period: None

(2) Changes in accounting policies/changes in accounting estimates

1) Changes in accounting policies due to revisions in accounting standards under IFRS: None

2) Changes in accounting policies other than the above: None

3) Changes in accounting estimates: None

(3) Number of issued shares (common shares)

1) Number of issued shares at the end of the period (including treasury shares):

As of December 31, 2024:	1,044,578,366
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As of March 31, 2024:	1,044,578,366
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2) Number of treasury shares at the end of the period:

As of December 31, 2024:	4,155,658
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As of March 31, 2024:	3,950,422
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3) Average number of shares:

Nine months ended December 31, 2024:	1,040,407,715
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Nine months ended December 31, 2023:	1,040,658,495
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Please note that a 2-for-1 stock split was conducted effective October 1, 2024. For this reason, the number of issued shares at the end of the period, the number of treasury shares at the end of the period, and the average number of shares are calculated as if said stock split was conducted at the beginning of the previous consolidated accounting year.

• Review of the Japanese-language originals of the attached consolidated quarterly financial statements by certified public accountants or an audit firm: None

• Explanation on appropriate use of forecast and other special items

This material contains an earnings forecast and other forward-looking statements which are based on available information and certain assumptions that are considered reasonable at the time of preparation. Various factors may cause actual results, etc. to be materially different from those expressed in these forward-looking statements.

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(Appendix)

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1. OVERVIEW OF OPERATING RESULTS AND FINANCIAL POSITION

(1) Overview of Operating Results

During the consolidated cumulative third quarter (from April 1, 2024 to December 31, 2024), JPX Group recorded operating revenue of ¥121,591 million (increased 8.9% from the same period of the previous fiscal year (i.e., year on year)), and operating expenses were ¥53,128 million (increased 3.3% year on year). As a result, JPX Group recorded operating income of ¥69,441 million (increased 5.1% year on year) and income before income tax of ¥69,510 million (increased 5.3% year on year).

In addition, net income attributable to owners of the parent company after tax was ¥46,967 million (increased 0.8% year on year).

(Operating revenue)

1) Trading services revenue

Trading services revenue comprises "transaction fees" based on the value of cash equities traded or volume of financial and commodity derivatives traded, "basic fees" based on the types of the trading participant's trading qualification, "access fees" based on the number of orders, "trading system facilities usage fees" based on the types of trading system facilities used, and other similar fees.

During the consolidated cumulative third quarter, trading services revenue increased 9.4% year on year to ¥48,799 million due mainly to an increase in revenue from transaction fees resulting from a year-on-year increase in trading value of cash equities.

Breakdown of trading services revenue

(Mil. yen)

	Nine months ended December 31, 2023	Nine months ended December 31, 2024	Change (%)
Trading services revenue	44,624	48,799	9.4
Transaction fees	37,086	40,868	10.2
Cash equities	27,830	32,589	17.1
Financial derivatives	8,172	7,122	(12.9)
TOPIX Futures	1,594	1,328	(16.7)
Nikkei 225 Futures*	3,230	2,818	(12.8)
Nikkei 225 Options**	1,752	1,479	(15.5)
10-year JGB Futures	1,427	1,683	17.9
Others	167	(187)	—
Commodity derivatives	1,083	1,156	6.8
Basic fees	735	724	(1.5)
Access fees	3,912	4,231	8.2
Trading system facilities usage fees	2,806	2,890	3.0
Others	83	83	0.1

*Figures include Nikkei 225 mini Futures.

**Figures exclude Nikkei 225 Weekly Options.

2) Clearing services revenue

Clearing services revenue comprises clearing fees related to the assumption of obligations of financial instrument transactions carried out by Japan Securities Clearing Corporation and other similar fees.

During the consolidated cumulative third quarter, clearing services revenue increased 7.7% year on year to ¥25,993 million.

3) Listing services revenue

Listing services revenue comprises "initial/additional listing fees" that are received based on the issue amount when a company initially lists or when a listed company issues additional shares, "annual listing fees" received from listed companies based on their market capitalization, and other similar fees.

During the consolidated cumulative third quarter, listing services revenue increased 11.3% year on year to ¥12,304 million due to increases in revenue from initial/additional listing fees and annual listing fees.

Breakdown of listing services revenue

(Mil. yen)

	Nine months ended December 31, 2023	Nine months ended December 31, 2024	Change (%)
Listing services revenue	11,057	12,304	11.3
Initial/additional listing fees	2,128	2,648	24.5
Annual listing fees	8,928	9,655	8.1

4) Information services revenue

Information services revenue comprises mainly of market information fees, which consist of revenue related to the provision of market information to information vendors, etc., and revenue related to the index business.

During the consolidated cumulative third quarter, information services revenue increased 8.0% year on year to ¥23,950 million due mainly to increases in revenue from market information fees and the index business.

5) Other operating revenue

Other operating revenue includes mainly usage fees for arrownet, which connects trading, market information, and other systems to trading participants and other users, and usage fees related to co-location services that allow trading participants, information vendors, and other users to install devices in the system center for the purpose of improving trade execution efficiency by shortening order transmission time.

During the consolidated cumulative third quarter, other operating revenue increased 9.3% year on year to ¥10,543 million.

Breakdown of other operating revenue

(Mil. yen)

	Nine months ended December 31, 2023	Nine months ended December 31, 2024	Change (%)
Other operating revenue	9,647	10,543	9.3
arrownet usage fees	2,512	2,671	6.4
Co-location services usage fees	3,763	4,427	17.6
Other	3,371	3,443	2.1

(Operating expenses)

During the consolidated cumulative third quarter, personnel expenses increased 7.5% year on year to ¥16,793 million.

System maintenance and operation expenses include expenses related to maintenance and management/operations of various systems including the cash equities and derivatives trading systems. System maintenance and operation expenses increased 8.8% year on year to ¥15,392 million.

Depreciation and amortization increased 0.6% year on year to ¥13,763 million.

Other operating expenses decreased 10.2% year on year to ¥7,180 million.

(2) Overview of Financial Position

(Assets, liabilities, and equity)

For assets and liabilities of JPX Group, "clearing business financial assets and liabilities" assumed by Japan Securities Clearing Corporation as a clearing organization and "deposits from clearing participants" deposited by clearing participants as collateral are included under both assets and liabilities. "Clearing business financial assets and liabilities" and "deposits from clearing participants" have a large impact on the amount of assets and liabilities of JPX Group due to their sizable amounts and daily fluctuations subject to changes in clearing participants' positions. In addition, "legal guarantee funds," "trading participant security money," and "default compensation reserve funds" based on the rules for securing safety of financial instruments transactions and other transactions are included under both assets and either liabilities or equity.

Total assets as of December 31, 2024 increased by ¥2,176,658 million from the end of the previous fiscal year to ¥82,859,285 million due mainly to an increase in "clearing business financial assets." Excluding "clearing business financial assets," "deposits from clearing participants," "legal guarantee funds," and "default compensation reserve funds," assets decreased by ¥10,840 million from the end of the previous fiscal year to ¥410,983 million.

Total liabilities as of December 31, 2024 increased by ¥2,178,658 million from the end of the previous fiscal year to ¥82,522,719 million due mainly to the same increase in "clearing business financial liabilities." Excluding "clearing business financial liabilities," "deposits from clearing participants," "legal guarantee funds," and "trading participant security money," liabilities decreased by ¥10,436 million from the end of the previous fiscal year to ¥91,883 million.

Total equity as of December 31, 2024 decreased by ¥2,000 million from the end of the previous fiscal year to ¥336,565 million, due to a capital reduction mainly as a result of dividend payment despite a capital increase from net income attributable to owners of the parent company. In addition, after excluding "default compensation reserve funds," total equity as of the same date was ¥308,617 million.

Reference

	Total assets	Total equity	Total equity attributable to owners of the parent company	Ratio of total equity attributable to owners of the parent company to total assets
	Mil. yen	Mil. yen	Mil. yen	%
As of December 31, 2024	82,859,285	336,565	326,391	0.4
	*410,983	*308,617	*298,442	*72.6
As of March 31, 2024	80,682,627	338,566	328,359	0.4
	*421,823	*310,618	*300,411	*71.2

Note: Figures marked * under total assets exclude "clearing business financial assets," "deposits from clearing participants," "legal guarantee funds," and "default compensation reserve funds," and those marked * under total equity and total equity attributable to owners of the parent company exclude "default compensation reserve funds."

(3) Explanation on Forecast Information such as Consolidated Earnings Forecast

1) Consolidated Earnings Forecast

There are no revisions to the consolidated earnings forecast from the forecast figures announced in "Consolidated financial results for the six months ended September 30, 2024 (Based on IFRS), unaudited" on October 29, 2024.

The consolidated earnings forecast for the fiscal year ending March 31, 2025 is based on the assumptions that the average daily trading values and volumes are ¥5.4 trillion for cash equities*, 50,000 contracts for 10-year JGB Futures, 103,000 contracts for TOPIX Futures, 185,000 contracts for Nikkei 225 Futures**, and ¥25.0 billion for Nikkei 225 Options.

*The trading value of stocks listed on the TSE Prime, Standard, and Growth Markets and TOKYO PRO Market, and that of ETFs, ETNs, and REITs, etc. (includes auction and off-auction trading)

**Includes Nikkei 225 mini contract volumes converted into large-sized contracts

2) Dividend Forecast

There are no revisions to the dividend forecast from the forecast figures announced in "Notice of Revisions to Earnings Forecast and Dividend Forecast" on September 24, 2024.

JPX adopts a dividend policy with a target payout ratio of approximately 60% tied to business performance while giving due consideration to the importance of internal reserves for the following purposes:

- Maintaining sound financial health as a financial instruments exchange group,
- Preparing for risks as a clearing organization, and
- Enabling JPX Group to pursue investment opportunities to raise the competitiveness of its markets as they arise.

2. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS AND NOTES

(1) Condensed Consolidated Statement of Financial Position

	As of March 31, 2024	As of December 31, 2024
	Mil. yen	Mil. yen
Assets		
Current assets		
Cash and cash equivalents	128,019	72,921
Trade and other receivables	19,550	22,474
Clearing business financial assets	70,741,262	74,377,639
Specified assets for deposits from clearing participants	9,490,971	8,042,128
Specified assets for legal guarantee funds	620	585
Income tax receivables	7,374	—
Other financial assets	110,810	156,910
Other current assets	2,619	3,977
Total current assets	80,501,228	82,676,636
Non-current assets		
Property and equipment	13,199	10,307
Goodwill	71,184	71,184
Intangible assets	32,768	36,260
Retirement benefit assets	791	748
Investments accounted for using the equity method	19,619	20,162
Specified assets for default compensation reserve funds	27,948	27,948
Other financial assets	3,449	3,514
Other non-current assets	5,897	5,774
Deferred tax assets	6,539	6,749
Total non-current assets	181,398	182,648
Total assets	80,682,627	82,859,285

	As of March 31, 2024	As of December 31, 2024
	Mil. yen	Mil. yen
Liabilities and equity		
Liabilities		
Current liabilities		
Trade and other payables	4,233	5,644
Bonds and loans payable	32,500	32,500
Clearing business financial liabilities	70,741,262	74,377,639
Deposits from clearing participants	9,490,971	8,042,128
Legal guarantee funds	620	585
Trading participant security money	8,885	10,481
Income tax payables	17,143	9,133
Other current liabilities	14,165	12,433
Total current liabilities	80,309,783	82,490,547
Non-current liabilities		
Bonds and loans payable	19,980	19,985
Retirement benefit liabilities	8,462	8,674
Other non-current liabilities	5,834	3,512
Total non-current liabilities	34,277	32,171
Total liabilities	80,344,060	82,522,719
Equity		
Share capital	11,500	11,500
Capital surplus	38,840	38,924
Treasury shares	(3,839)	(4,326)
Other components of equity	522	562
Retained earnings	281,336	279,730
Total equity attributable to owners of the parent company	328,359	326,391
Non-controlling interests	10,206	10,174
Total equity	338,566	336,565
Total liabilities and equity	80,682,627	82,859,285

(2) Condensed Consolidated Statement of Income

	Nine months ended December 31, 2023	Nine months ended December 31, 2024
	Mil. yen	Mil. yen
Revenue		
Operating revenue	111,639	121,591
Other revenue	4,801	171
Total revenue	116,441	121,762
Expenses		
Operating expenses	51,451	53,128
Other expenses	98	96
Total expenses	51,549	53,225
Share of income of investments accounted for using the equity method	1,150	904
Operating income	66,042	69,441
Financial income	62	187
Financial expenses	80	118
Income before income tax	66,024	69,510
Income tax expense	18,493	21,284
Net income	47,530	48,226
Net income attributable to		
Owners of the parent company	46,591	46,967
Non-controlling interests	939	1,259
Net income	47,530	48,226
Earnings per share		
Basic (Yen)	44.77	45.14
Diluted (Yen)	—	—

(3) Condensed Consolidated Statement of Comprehensive Income

	Nine months ended December 31, 2023	Nine months ended December 31, 2024
	Mil. yen	Mil. yen
Net income	47,530	48,226
Other comprehensive income		
Items that will not be reclassified to profit or loss		
Net gain (loss) on revaluation of financial assets measured at fair value through other comprehensive income	(6)	39
Other comprehensive income, net of tax	(6)	39
Comprehensive income	47,524	48,266
Comprehensive income attributable to		
Owners of the parent company	46,584	47,007
Non-controlling interests	939	1,259
Comprehensive income	47,524	48,266

(4) Condensed Consolidated Statement of Changes in Equity

	Equity attributable to owners of the parent company			
	Share capital	Capital surplus	Treasury shares	Other components of equity
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2023	11,500	38,841	(13,575)	445
Net income	—	—	—	—
Other comprehensive income, net of tax	—	—	—	(6)
Total comprehensive income	—	—	—	(6)
Acquisitions of treasury shares	—	—	(3,367)	—
Dividends paid	—	—	—	—
Other	—	(0)	462	—
Total transactions with the owners	—	(0)	(2,904)	—
Balance as of December 31, 2023	11,500	38,840	(16,480)	438

	Equity attributable to owners of the parent company		Non-controlling interests	Total equity
	Retained earnings	Total		
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2023	275,523	312,734	9,075	321,809
Net income	46,591	46,591	939	47,530
Other comprehensive income, net of tax	—	(6)	—	(6)
Total comprehensive income	46,591	46,584	939	47,524
Acquisitions of treasury shares	—	(3,367)	—	(3,367)
Dividends paid	(35,562)	(35,562)	—	(35,562)
Other	—	461	—	461
Total transactions with the owners	(35,562)	(38,467)	—	(38,467)
Balance as of December 31, 2023	286,553	320,851	10,014	330,865

Equity attributable to owners of the parent company				
	Share capital	Capital surplus	Treasury shares	Other components of equity
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2024	11,500	38,840	(3,839)	522
Net income	—	—	—	—
Other comprehensive income, net of tax	—	—	—	39
Total comprehensive income	—	—	—	39
Acquisitions of treasury shares	—	—	(728)	—
Dividends paid	—	—	—	—
Changes in ownership interest in subsidiaries	—	84	—	—
Other	—	—	240	—
Total transactions with the owners	—	84	(487)	—
Balance as of December 31, 2024	11,500	38,924	(4,326)	562

Equity attributable to owners of the parent company				
	Retained earnings	Total	Non-controlling interests	Total equity
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2024	281,336	328,359	10,206	338,566
Net income	46,967	46,967	1,259	48,226
Other comprehensive income, net of tax	—	39	—	39
Total comprehensive income	46,967	47,007	1,259	48,266
Acquisitions of treasury shares	—	(728)	—	(728)
Dividends paid	(48,572)	(48,572)	—	(48,572)
Changes in ownership interest in subsidiaries	—	84	(1,290)	(1,206)
Other	—	240	—	240
Total transactions with the owners	(48,572)	(48,976)	(1,290)	(50,266)
Balance as of December 31, 2024	279,730	326,391	10,174	336,565

(5) Notes on Condensed Consolidated Financial Statements

(Note on Going-concern Assumption)

Not applicable

(Segment Information)

1) General Information

This information is omitted since the Group has a single segment consisting of the financial instruments exchange business.

2) Information about Products and Services

This information is omitted since similar information is disclosed in "(5) Notes on Condensed Consolidated Financial Statements - (Operating Revenue)".

(Note on Cash Flow)

The condensed consolidated statement of cash flows is omitted for the consolidated cumulative third quarter.

Depreciation and amortization expenses for the consolidated cumulative third quarter are as follows:

	Nine months ended December 31, 2023	Nine months ended December 31, 2024
	Mil. yen	Mil. yen
Depreciation and amortization	13,687	13,763

(Operating Revenue)

The breakdown of "operating revenue" is as follows:

	Nine months ended December 31, 2023	Nine months ended December 31, 2024
	Mil. yen	Mil. yen
Trading services revenue	44,624	48,799
Clearing services revenue	24,133	25,993
Listing services revenue	11,057	12,304
Information services revenue	22,176	23,950
Other	9,647	10,543
Total	111,639	121,591

(Operating Expenses)

The breakdown of "operating expenses" is as follows:

	Nine months ended December 31, 2023	Nine months ended December 31, 2024
	Mil. yen	Mil. yen
Personnel expenses	15,625	16,793
System maintenance and operation expenses	14,145	15,392
Depreciation and amortization	13,687	13,763
Other	7,992	7,180
Total	51,451	53,128

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